

Independent auditor's report to the members of Northwind Components Ltd

Opinion

We have audited the financial statements of Northwind Components Ltd for the year ended 31 December 2025, which comprise the income statement, the balance sheet, the cash flow statement and the related notes. In our opinion the financial statements give a true and fair view of the state of the company's affairs as at 31 December 2025 and of its profit for the year then ended.

Northwind Components Ltd

Income statement

For the year ended 31 December 2025

	2025 GBP	2024 GBP
Revenue	8,420,000	7,150,000
Cost of sales	(5,310,000)	(4,620,000)
Gross profit	3,110,000	2,530,000
Administrative expenses	(1,870,000)	(1,640,000)
Operating profit	1,240,000	890,000
Finance costs	(95,000)	(110,000)
Profit before tax	1,145,000	780,000
Tax	(286,000)	(195,000)
Profit for the year	859,000	585,000

Northwind Components Ltd
Balance sheet
As at 31 December 2025

	2025 GBP	2024 GBP
Property, plant and equipment	2,460,000	2,210,000
Inventories	1,120,000	980,000
Trade and other receivables	1,540,000	1,310,000
Cash at bank	690,000	420,000
Trade and other payables	(1,380,000)	(1,190,000)
Bank loans	(1,200,000)	(1,400,000)
Net assets	3,230,000	2,330,000
Share capital	100,000	100,000
Retained earnings	3,130,000	2,230,000

Northwind Components Ltd

Cash flow statement

For the year ended 31 December 2025

	2025 GBP	2024 GBP
Cash generated from operations	1,310,000	960,000
Tax paid	(240,000)	(170,000)
Purchase of property, plant and equipment	(505,000)	(390,000)
Repayment of bank loans	(200,000)	(200,000)
Interest paid	(95,000)	(110,000)
Net increase in cash	270,000	90,000

Notes to the financial statements

1. Accounting policies

The financial statements have been prepared under FRS 102 on the historical cost basis. Revenue is recognised when goods are despatched to customers.

2. Turnover

All turnover arises from the sale of components within the United Kingdom.